GNA Axles Ltd

Concall tracker, Q2 FY27 (quarter to Sep 2026) · NSE: GNA · filed under Q2-2027 · builds on the Q1-2027 report

1. Snapshot

GNA Axles, based in Punjab, forges and machines rear axle shafts and spindles, the heavy steel parts that carry engine power to the wheels of trucks, buses and tractors. It sells to vehicle and axle makers in India and exports about half its output to the Americas, Europe and Asia. It is slowly adding axle shafts for SUVs and light vehicles.

Number	Value	Plain read
Market cap	₹2,485 cr	A small-cap auto-parts maker. Up from ₹2,176 cr at our last report as the share rallied.
Price / P/E	₹579 / 17.1x	You pay about 17 years of current profit. Moderate for an auto-parts maker.
Q2 FY27 sales	₹521 cr	A new record, up 50% from ₹348 cr a year ago and up again from ₹470 cr in June.
Q2 FY27 net profit	₹44 cr	Up about 41% from ₹31 cr. Profit grew slower than sales this time.
Q2 FY27 operating margin	~16%	About ₹16 of every ₹100 of sales is operating profit, down from about 18% a year ago.
Last 12 months sales / profit	₹1,778 cr / ₹145 cr	Well above full-year FY26 (₹1,478 cr / ₹117 cr). The slump of FY26 is over.
Borrowings (Sep 2026)	₹203 cr	Slightly lower than March (₹218 cr) against about ₹1,070 cr of net worth. Low debt.
Promoter holding	58.5% (Sep 2026)	Down from 65.8% in June. Promoter family members sold shares in the open market through the quarter.

2. Coverage

No concall transcripts were available on Screener, and GNA does not hold earnings calls. This report is based on a global web deep-dive.

Period	Source	Status
FY24 to Q1 FY27	Annual reports, result filings, ICRA rating notes, press	Carried forward from the Q1-2027 report
Q2 FY27 (results 23 Oct 2026)	Exchange result filing figures (via Screener), results news, promoter-trading disclosures on NSE	Newly read ★

Sources: Screener.in financials; NSE insider-trading disclosures (Jun to Sep 2026); results coverage on sahi.com, univest.in and kotakneo.com; FY26 management discussion (indiainfoline); ICRA rating rationale (Sep 2025).

Latest update highlights: Q2 FY27 results (23 Oct 2026)

- **Second record quarter in a row.** Sales ₹521 cr, up 50%. Operating profit ₹82 cr, up about a third. Two straight quarters of big growth after a flat FY26.
- **Margin slipped.** Operating margin about 15.6% vs 17.6% a year ago. No explanation was given; there is no call to ask. Steel prices and export mix are the usual suspects.
- **Reported order backlog in North America and Europe** and a 30% revenue growth target for FY27, per a results news alert that says it could not verify the claim. Treat it as a pointer, not a promise.
- **Promoter group selling.** Maninder Singh Seehra, a promoter-family director, cut his stake from about 10.6% to about 3.7% through open-market sales from June to August; another family member also sold. Overall promoter holding fell about seven points in the quarter.
- **Nothing new on GNA Mobility,** the SUV and light-vehicle subsidiary meant to start in FY27.

Business mix & capacity

Domestic vs export (FY26, last disclosed): domestic about 52%, exports about 46%. Roughly half the sales come from abroad. FY26 domestic volumes rose while exports fell on US tariffs; no new split was disclosed for Q2.

US exposure: about a fifth to a quarter of revenue (ICRA). Half to 60% of US exports are sold ex-works, so the US customer pays the import duty.

Capacity utilization: not disclosed.

2d. Since our last report

Builds on the Q1-2027 report (prepared 24 Jul 2026, covering the June quarter, also a web deep-dive). Prior verdicts: trigger MAYBE, consistency MAYBE.

Prior read	What we said then	What Q2 shows	Movement
Trigger: MAYBE	Funded SUV/EV diversification, but not in the numbers; today's growth is the truck and tractor cycle.	Growth sped up again, but there's still no word on SUV/EV sales.	On-track
Consistency: MAYBE	Steady story, delivered on margins; disclosure slips (capex corrigendum).	Margins dipped; heavy promoter-family selling.	Slipping
Watch: US tariffs on exports	Exports fell in FY26.	A reported backlog in North America and Europe; sales up 50%, so exports likely recovered (not broken out).	Improving
Watch: working capital creep	Cash cycle about 139 days.	Debt fell slightly in the half year; no day counts until the annual report.	On-track
Watch: GNA Mobility starts in FY27	The proof year.	No update.	Slipping

Checkpoint results: none (the prior report had no checkpoint box). Promise-to-watch scores: Partly | Partly | Missed.

Verdict change: both unchanged. The growth is real, but it still comes from the cycle and exports, not from the new SUV business.

3. Earning trigger thesis

The durable trigger the company keeps naming is the move beyond truck and tractor axles into SUV and light-vehicle axle shafts, through the GNA Mobility subsidiary. That still isn't visible. What is driving the record quarters is strong Indian truck and tractor demand and, it seems, exports to the West coming back after the tariff hit.

Trigger	What the company said	Evidence so far	Horizon	Strength	Change since last report
SUV / light-vehicle axles (GNA Mobility)	SUVs are "the next growth engine"; subsidiary to start in FY27.	₹25 cr equity committed in Q1; no sales disclosed.	FY27 to FY29	Unproven	Unchanged
Domestic truck and tractor demand	Domestic volumes up in FY26.	Two record quarters.	Now	Strong but cyclical	↑ improving
Export recovery	Reported backlog in North America and Europe (unverified alert).	Sales up 50% suggests exports are back; no split.	Next few quarters	Moderate	↑ improving

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	No statement; borrowings dipped slightly.
New business	Yes	SUVs named "the next growth engine" in the FY26 management discussion; GNA Mobility funded in Q1 FY27 (Jul 2026).
Margin up	No	Margin fell this quarter.
New management	No	None.
New capacity	No	No new plant announced in the period.
Big orders	No	A backlog was reported only by an unverified news alert (26 Oct 2026); no company statement.
Turnaround	No	Not a loss-maker.
Promoter buying	No	The opposite: promoter-family members sold through June to September 2026.

Single concrete driver: Strong Indian truck and tractor demand plus a likely export recovery produced two record quarters; the SUV axle business through GNA Mobility, the long-term driver, hasn't reported any sales yet.

3c. Margin bridge

Operating margin fell to about 15.6% from 17.6% a year ago, even with half again as much sales. With no call, the company hasn't said why. Higher steel costs or a shift toward lower-margin export or domestic parts are possible, but that's a guess (unclear).

4. Management consistency scorecard

Period	What was signalled	What happened	Verdict
FY24 to FY25	Diversify into SUV/PV; grow volumes	Flat sales, margins held around 13-14%	Partly
FY26	Domestic-led growth, margin discipline, set up GNA Mobility	Sales down 4% on US tariffs, profit up 9%, margin 16%	Delivered (margin); too early (SUV)
Q1 FY27	Momentum to continue; GNA Mobility to start in FY27	Record ₹470 cr sales	Delivered
Q2 FY27	Reported 30% FY27 growth target (unverified)	H1 sales up about 43%, ahead of that pace	Delivered so far
Q2 FY27	GNA Mobility to begin in FY27	No update half way through the year	Too early

Narrative drift: The story hasn't changed: protect margins, ride the truck and tractor cycle, and build SUV axles as the next leg. The company doesn't hold calls, so there's little to hold it to. The new worry is the steady promoter-family selling, which is not a good sign when the business is at a record, and the margin dip with no explanation.

Durable earning trigger? → MAYBE vs last quarter: unchanged

Nothing moved the core read. Sales are at records, but that's the truck and tractor cycle and exports coming back, both outside the company's control. The SUV business that would make growth durable still shows nothing.

Management consistent? → MAYBE vs last quarter: unchanged, leaning down

Results keep beating the pace the company has talked about. But the margin slipped without a word, GNA Mobility has gone quiet, and promoter-family members sold a big chunk of shares into the rally. No calls means very little to check against.

6. Checkpoints for next quarter

- December-quarter sales again beat the same quarter last year by a wide margin
- Operating margin recovers to last year's level
- GNA Mobility reports its first sales or plant start

Not investment advice. Prepared from public sources only; no concall transcripts exist for GNA Axles.